# PORTFOLIO COMMITTEE ON BUDGET FINANCE AND INVESTMENT PROMOTION

# REPORT

# ON

# THE 2026 MONETARY POLICY REVIEW STATEMENT

## THIRD SESSION OF THE TENTH-PARLIAMENT

***Presented to Parliament***

***(S.C 2026)***

**ORDER OF APPOINTMENT**

**STANDING ORDER NO. 18**

- At the commencement of every Session, there must be as many Committees to be designated according to government portfolios as the Committee on Standing Rules and Orders may deem fit.
- Each Select Committee must be known by the portfolio determined for it by the Committee on Standing Rules and Orders.

**TERMS OF REFERENCE**

**STANDING ORDER NO. 21**

**Subject to these Standing Orders, Portfolio Committees must-**

- examine expenditure administration and policy of government departments and other matters falling under their jurisdictions as Parliament may, by resolution determine;
- consider and deal with all Bills other than the Constitutional Bill and Statutory Instruments or other matters which are referred to them by or under a resolution of the House or by the Speaker;
- consider or deal with an Appropriation of Money Bill or any aspect of an Appropriation or Money Bill referred to them by these Standing Orders or by resolution of the House;
- monitor, investigate, enquire into and make recommendations relating to any aspect of the legislative programme, budget, policy or any other matter it may consider relevant to the government department falling within the category of affairs assigned to them, and may for that purpose consult and liaise with such a department; and
- consider or deal with all international treaties, conventions and agreements relevant to them, which are from time to time negotiated, entered into or agreed upon.

**Speakers Announcement**

On 12 October 2023 the Speaker, announced that the following, embers shall serve on the Portfolio committee on Budget, Finance and Investment Promotion as follows;

1. ***Hon. Dhliwayo L(Chairperson)***
2. Hon Bvute O
3. Hon. Chiduwa C
4. Hon. Dupe P
5. Hon. Hungwe, T
6. Hon. Hlatswayo G
7. Hon. Kademaunga M
8. Hon. Karenyi L
9. Hon Khupe T
10. Hon. Madzivanyika C
11. Hon. Makombe J
12. Hon. Mamombe J
13. Hon. Mpofu. A.R
14. Hon. Mukomberi T
15. Hon. Mushipe T
16. Hon. Mushoriwa E
17. Hon. Mutseyami C.P
18. Hon. Mutodi, E
19. Hon. Muwombi J
20. Hon. Nkani A
21. Hon. Nkomo M
22. Hon Nyamuronda R
23. Hon. Shumba T
24. Hon. Sithole G.K
25. Hon. Tsvangirai R
26. Hon. Zhou Tafanana
27. Hon. Zhou Tsitsi
28. Hon. Ziyambi S
29. Hon Zvobgo

## 1. INTRODUCTION

Section 317 of the Constitution of Zimbabwe mandates the Reserve Bank of Zimbabwe (RBZ) to regulate the country's monetary system through the formulation and implementation of the monetary policy. In line with this mandate, the RBZ Governor presented the 2026 Monetary Policy Statement (MPS) on 27 February 2026, issued under Section 46 of the Reserve Bank of Zimbabwe Act (Chapter 22:15). The statement was delivered under the theme "Deepening domestic currency usage to consolidate price and exchange rate stability." Following this presentation, the Portfolio Committee on Budget, Finance, and Investment Promotion invited stakeholders to submit their views on the monetary policy, in accordance with Section 141 of the Constitution, which requires Parliament to involve the public in its processes This report therefore summarizes both the submissions from the stakeholders and the perspectives of the Committee.

## 2. METHODOLOGY

On 16 March 2026, the Committee invited the following institutions to participate in its consultations:

**a)** Bankers Association of Zimbabwe
**b)** Confederation of Zimbabwe Retailers
**c)** Consumer Council of Zimbabwe
**d)** Confederation of Zimbabwe Industries
**e)** Chamber of Mines
**f)** Chartered Accountants of Zimbabwe
**g)** Zimbabwe National Chamber of Commerce

Stakeholders provided both oral and written submissions, all of which were carefully considered by the Committee in preparing this report. In addition, the Committee drew upon the Monetary Policy Analysis Report prepared by the Parliament Budget Office to enrich its deliberations and ensure a comprehensive assessment.

## 3. COMMITTEE FINDINGS

Stakeholders expressed appreciation to the Committee for consistently inviting them to contribute their views. The 2026 Monetary Policy was widely regarded as a credibility instrument, with stakeholders agreeing that its primary economic function is to safeguard the ongoing disinflation process, defend exchange-rate stability, and reinforce the narrative of policy consistency long enough to reset expectations. This perspective aligns with the national goal of achieving single-digit inflation, a key milestone under Vision 2030. The

Committee observed that low single-digit inflation helps protect purchasing power, enhances predictability, and reduces abrupt price changes. Zimbabwe has already experienced a progressive disinflation trend, evidenced by the sharp decline in annual ZiG inflation from a peak of 95.8% in July 2025 to just 4.1% in January 2026. Stakeholder submissions highlighted that the direction of the monetary policy was largely positive and aligned with the expectations of the business community. Controlling inflation and stabilizing the exchange rate were identified as the foremost priorities for the people of Zimbabwe. Stakeholders further emphasized that strengthening confidence in the domestic currency and the broader financial system remains critical to sustaining economic stability.

### 3.1 THE INTEREST RATE POLICY

The Bank Policy Rate was maintained at 35% and will be reviewed in line with inflation trends and other monetary, financial, and macroeconomic indicators. The Committee observed that this rate appears excessively high given current inflation developments, with annual inflation reported at 4.1% in January and 3.8% in February. In the Committee's view, such price stability should naturally warrant a downward revision of the policy rate, as borrowing costs remain prohibitive for businesses seeking to finance capital and working capital requirements. Stakeholders anticipated a modest adjustment to around 30% as a signal that economic stability is being consolidated.

The current 35% rate reflects the RBZ's cautious stance, acknowledging the possibility of renewed inflationary pressures. However, industry representatives noted that ZiG lending rates remain elevated, ranging between 40–47%, while USD lending rates stand at 11–18%, making working capital particularly expensive. The Committee observed that maintaining a policy rate of 35% against an inflation rate of 4.1% appears disproportionate when compared with regional peers. For instance, Nigeria's policy rate stands at 26% with inflation at 15.1%, Malawi maintains a 26% policy rate against inflation of 24.9%, while Ghana's policy rate is 15.5% with inflation at 3.8%. The Committee therefore concluded that gradual downward adjustments to the policy rate would be prudent, balancing the need for caution with the imperative of supporting productive investment.

### 3.2.MINIMUM DEPOSIT INTEREST RATES

Interest rates on ZiG savings have been reviewed upwards, with savings accounts now earning 5% and to 2.5% on USD deposits. Time deposits have also increased to 7.5% for ZiG and 4% for USD. The committee is of the view that the adjustment is commendable as

it incentivizes savings through formal banking channels. Given that annual ZiG inflation is currently around 3.8%, depositors now enjoy positive real interest rates, meaning their savings retain value and generate a modest return. Stakeholders concurred that positive real interest rates are critical for confidence-building in the financial system. They assure depositors that their money is not being eroded by inflation, thereby encouraging households and businesses to keep funds in banks rather than resorting to informal or speculative alternatives. This contributes to strengthening trust in the domestic currency, mobilizing capital for investment, and fostering a culture of savings, an essential pillar for sustainable economic growth. Moreover, higher deposit rates can help broaden the resource base for banks, enabling them to extend more affordable credit to productive sectors. In line with the National Development Strategy 2, such measures support financial stability, deepen domestic currency usage, and promote long-term economic resilience.

### 3.3. REVIEW OF MOBILE MONEY AND ZIPIT TRANSACTIONAL LIMITS

Transaction limits for ZiG have been increased to ZiG13,000 per transaction and ZiG50,000 per month for Person-to-Person (P2P), Person-to-Business (P2B), and ZIPIT transfers. This upward review enhances convenience for the transacting public, stimulates digital payments, and consequently supports economic activity. Stakeholders noted that previous limits were too restrictive, discouraging wider use of electronic payment systems. In addition, Real-Time Gross Settlement (RTGS) system transaction costs have been reduced, from US$0.90 to US$0.80 for Windows 1 and 2, and from US$1.20 to US$1.10 for Window 3. Lower RTGS fees reduce backend settlement costs for banks, partially offsetting revenue losses from mandated customer fee cuts. More importantly, the reduction aligns with the national ease-of-doing-business agenda by making high-value electronic transfers more affordable for both businesses and individuals. The Committee observed that these measures encourage greater use of formal payment systems, reduce transaction expenses for businesses, and improve efficiency in financial settlements. By lowering costs and expanding transaction limits, the reforms strengthen confidence in digital payments, promote financial inclusion, and enhance overall economic competitiveness.

### 3.4.BANK CHARGES

The RBZ introduced a series of reductions in bank charges aimed at lowering the cost of financial transactions. Cash withdrawal fees in banking halls and ATMs were capped at a maximum of 2% of the withdrawn amount, while Point of Sale (POS) charges were reduced to a maximum of 1.5% of the transaction value for both local and international cards, with a ceiling of US$20 or the ZiG equivalent. In addition, account balance inquiry charges were removed across all banking and mobile platforms for both ZiG and USD accounts, and cash deposit fees were eliminated for both currencies. These measures represent a positive step toward enhancing financial inclusion by making banking more affordable and accessible.

The Committee welcomed the removal of balance inquiry and deposit fees, noting that such charges, though small were frequent and eroded household incomes. Stakeholders emphasized that businesses, particularly SMEs, stand to benefit significantly from lower POS charges, which reduce transaction costs and improve profit margins. Lower transaction costs also stimulate consumption and trade, thereby supporting broader economic activity. However, these reforms must be carefully monitored to ensure the sustainability of the banking sector. Effective implementation across all banks is essential for the public to fully benefit from the measures.

### 3.5.EXPORTERS' FOREIGN CURRENCY RETENTION THRESHOLD

The 2026 Monetary Policy maintained the foreign currency retention threshold at 70% across all sectors of the economy, except for small-scale gold producers. Stakeholders noted that while surrender requirements remain unfavorable to some exporters, the prevailing exchange rate premium has helped limit exposure to distortions that previously eroded value. The 30% portion surrendered are utilized by the Reserve Bank to build national foreign exchange reserves and support exchange rate stability. However, concerns persist that if businesses perceive restricted access to their full earnings, surrender requirements may be viewed as undesirable. The Committee is of the view that there is need to strengthen anti-smuggling measures to prevent policy aversion through illicit practices.

### 3.6.TARGETED FINANCE FACILITY (TFF)

The facility introduced in January 2025 has been extended under the same terms and conditions, availing an additional ZiG600 million under the TFF, thereby bringing the total to ZiG1.2 billion for productive sectors. The Committee noted that, given the limited

lending facilities available in the economy, the TFF has become instrumental in enabling businesses to access affordable capital. Stakeholders highlighted that the facility has worked exceptionally well, with 49% of disbursements directed to manufacturing and 34% to agriculture, providing predictable and accessible financing to key sectors. It expands the pool of affordable, ring-fenced credit, driving investment and growth without significantly increasing the broad money supply. The Committee further observed that while expanding liquidity to productive sectors can stimulate investment and employment, careful management is required to prevent unintended consequences such as inflationary pressures or exchange rate instability.

### 3.7.STATUTORY RESERVES

Statutory reserve ratios were maintained at 15% for savings and fixed deposits, and 30% for demand deposits, applying to both local and foreign currency accounts. These ratios serve to limit aggressive lending by banks, reinforce prudent financial management, and contain inflationary pressures by restricting excessive growth in the money supply. The Committee supported this policy measure, noting that it explicitly incentivizes banks to mobilize stable, long-term savings and time deposits. It is now incumbent upon banks to transform the structure of deposits from savings to time deposits to enable them to increase lending. Stable funding provides a stronger foundation for longer-term lending, as opposed to short-term facilities backed by volatile demand deposits. Stakeholders emphasized that such measures help sterilize excess liquidity, thereby reducing the risk of exchange rate pressures and contributing to overall monetary discipline.

### 3.8.NON-NEGOTIABLE CERTIFICATES OF DEPOSIT (NNCDS)

Non-Negotiable Certificates of Deposit (NNCDs) will continue to be used by the Reserve Bank to absorb excess liquidity from the banking system. These instruments are issued to commercial banks, building societies, deposit-taking microfinance institutions (DTMFIs), and other regulated financial institutions to control money supply growth, reduce inflationary pressures, and support exchange rate stability. Stakeholders supported the policy stance citing that the RBZ has introduced a ZiG Term Deposit Facility, allowing banks to invest surplus liquidity at market-related interest rates rather than being compelled into zero-interest NNCDs. The Committee welcomed this measure, noting that at the macroeconomic level it supports inflation control, strengthens financial stability, and signals the central bank's commitment to prudent liquidity management. However, the

Committee cautioned that excessive reliance on NNCDs or similar sterilization tools could inadvertently dampen economic expansion by restricting funds available for productive investment. Striking the right balance between liquidity absorption and credit provision will therefore be critical to sustaining growth while maintaining monetary discipline.

### 3.9.ELECTRONIC FX TRADING SYSTEM

The Monetary Policy introduced a new foreign exchange trading platform for authorized dealers, designed to improve efficiency in the interbank foreign exchange market under the Willing Buyer, Willing Seller (WBWS) arrangement. Stakeholders emphasized that this tool is critical in eliminating perceptions of a **"central bank hand"** in exchange rate determination, which previously arose from the manual collection and averaging of daily trades. The platform instead relies on anonymous, algorithmic order matching to generate a real-time, mechanically calculated reference rate. The Committee supported the measure, noting that effective implementation will strengthen confidence in the formal foreign exchange market, narrow the gap between official and parallel market rates, and enhance liquidity management among banks. By introducing transparency and automation, the platform signals the RBZ's commitment to market-based exchange rate determination. However, the Committee cautions that the success of the measure will depend on adequate foreign currency supply, strong regulatory oversight, and consistent policy implementation. Without these safeguards, the platform risks failing to deliver its intended benefits of stability, credibility, and efficiency in the foreign exchange market.

### 3.10. ENHANCED DUE DILIGENCE (EDD) AND KNOW YOUR CUSTOMER (KYC) FOR MOBILE NETWORK OPERATORS (MNOS)

The Committee noted with concern the rise in fraud cases, driven by individuals exploiting weak due diligence and Know Your Customer (KYC) practices among mobile network operators (MNOs). Inadequate verification has heightened risks of money laundering and cybercrime, undermining consumer protection. The Committee also observed attempts by MNOs to exclude themselves from the US$0–5 zero-charge band, which contradicts regulatory requirements. To address these challenges, the new measures mandate that all mobile wallets be screened for "ghost users" in collaboration with the Civil Registry Department by 30 June 2026. Furthermore, MNO-issued nano-loans, which were creating large volumes of unbacked money outside the regulated banking system, must now be recorded on commercial bank balance sheets. The committee is in support with the measure

as it presents a strategic opportunity for the banking sector to capture the micro-lending space within a regulated framework. Overall, the measures reflect a tightening of regulatory oversight in response to rising risks of fraud, illicit money creation, money laundering, and cybercrime. It is the view of the committee that by mandating stricter identity verification, eliminating ghost wallets, and ensuring proper underwriting of nano-loans, the Reserve Bank aims to strengthen the integrity, stability, and credibility of Zimbabwe's digital financial ecosystem.

### 3.11. INTRODUCTION AND LAUNCH OF UPGRADED ZIG BANKNOTES

The Reserve Bank has introduced the upgraded ZiG banknote series. If effectively distributed, these notes will help ease cash shortages, ensure the availability of change for small-value transactions, and improve overall convenience in everyday trade. Stakeholders have expressed support for the policy, noting that it enhances the quality and durability of the currency. Both the public and the business community stand to benefit from a stable currency with improved anti-counterfeit features and more durable notes, which reduce losses and handling costs. The Committee further proposes the introduction of lower denominations, particularly coins, to facilitate smoother small-value transactions and address challenges related to change.

## 4. COMPLEMENTARITY OF THE MONETARY POLICY STATEMENT AND THE NATIONAL BUDGET

Stakeholders reiterated that the national currency represents a symbol of sovereignty and economic pride, and they assured the Committee of their continued support for policies that strengthen its use. However, they emphasized the need to increase the payment of taxes in ZiG to boost demand for the currency, thereby ensuring that fiscal policy complements monetary policy.

In the past, auditors often issued adverse or qualified opinions due to the challenges of financial reporting in a hyperinflationary environment, as guided by International Accounting Standard (IAS) 29, Financial Reporting in Hyperinflationary Economies. Since the introduction of ZiG in 2024, exchange rates have stabilized and inflation has declined to single-digit levels, making it easier for institutions to prepare reliable financial statements for audit purposes. This development marks a significant improvement in financial reporting and economic credibility.

Stakeholders also highlighted that ongoing ease-of-doing-business reforms have reduced costs in several sectors, with retailers saving up to 35% on licensing fees. These reforms

demonstrate that Zimbabwe is fully committed to its "Open for Business" mantra. The Committee therefore urged the business community to take advantage of these reduced costs to enhance productivity and contribute to sustainable economic growth.

## 5. ROAD TO MONO-CURRENCY

There is widespread concern regarding Zimbabwe's indication that it will transition to a mono-currency system by 2030. Statutory Instrument (SI) 218 of 2023 limited the life of the multicurrency regime to 2030. Stakeholders agreed that such a transition should be conditions-based rather than time-bound. Key prerequisites include maintaining single-digit inflation, building sufficient foreign currency reserves to cover three to six months of imports, and ensuring a stable exchange rate with minimal overvaluation. Stakeholders further called for these conditions to be legislated, thereby creating alignment among all economic agents on the appropriate timing for mono-currency implementation. They argued that repealing SI 218 of 2023 and replacing it with a framework anchored on measurable economic benchmarks would strengthen confidence, reduce uncertainty, and ensure that the transition occurs under conditions conducive to stability and growth.

## 6. COMMITTEE OBSERVATIONS

**a)** Since the introduction of the ZiG in April 2024, inflation has steadily declined, reflecting the effectiveness of the Reserve Bank's tight monetary stance;

**b)** The premium between the official and parallel market exchange rates has narrowed significantly, showing progress toward exchange rate convergency;

**c)** Interest rates remain high considering current inflation rate, making borrowing extremely costly for businesses seeking to finance capital and working capital requirements;

**d)** The announced reduction in bank charges is a positive step but requires careful monitoring to ensure sustainability and full implementation across the sector.

**e)** The expansion of the TFF will increase liquidity to productive sectors, with the broader objective of boosting output and employment while maintaining inflation neutrality.

**f)** The newly introduced digital trading platform is a positive step to enhance transparency, price discovery, depending on foreign currency availability;

**g)** The public supports the screening of all mobile money wallets for ghost users, in collaboration with the Civil Registry Department, as a measure to deter fraud, money laundering, and cybercrime.

**h)** The 2026 Monetary Policy announced that the transition from multicurrency to mono-currency will be condition-based, raising legal concerns since Section 11 of the Exchange Control Act legally limits the multicurrency regime to 2030.

## 7. COMMITTEE RECOMMENDATIONS

**a)** The RBZ and Ministry of Finance should continue with the tight monetary policy stance, whilst being very alert and responsive to the liquidity situation in the economy;

**b)** The Reserve Bank of Zimbabwe should gradually reduce the Bank policy rate in line with inflation, by 30 June 2026;

**c)** The Reserve Bank of Zimbabwe should strictly monitor all banks to ensure full compliance with the announced reduction in bank charges. Implementation should be completed in line with policy provisions by 30 April 2026.

**d)** The TFF should be continuously and carefully managed to ensure that expanded liquidity to productive sectors does not fuel inflationary pressures or destabilize the exchange rate;

**e)** The RBZ must ensure adequate and consistent foreign currency supply to the newly introduced digital trading platform for its success in improving transparency, price discovery, and efficiency in the interbank foreign exchange market; **continuously**.

**f)** The Reserve Bank of Zimbabwe must ensure that all Mobile Network Operators (MNOs) comply with the directive to complete the screening of all mobile money wallets for ghost users, by 30 June 2026;

**g)** The transition to a mono-currency system should be conditions-based and aligned with measurable economic benchmarks. In this regard, Section 11(2a) of the Exchange Control Act should be repealed in order to promote policy consistency; by December 2026.

## 8. CONCLUSION

The Monetary Policy Statement maintained a tight monetary policy stance which promotes economic stability. It is the hope of the Committee that if all measures are fully implemented, closely monitored, and complemented by the Committee's recommendations, confidence in the financial sector will be strengthened. This in turn would contribute towards the achievement the objectives set out in the National

Development Strategy 2, particularly the creation of a stable macroeconomic environment characterized by single-digit inflation rates and sustained growth.